



**GOLD'S BEEN ON** a tear lately. Its prices have kicked off the year with a bang, soaring past the ₹75,000 mark on the Multi Commodity Exchange of India Ltd (MCX) in April. This impressive surge, fuelled by a steady dollar, has been a global phenomenon, with gold surpassing the \$2,400 mark in the international market in April.

Jateen Trivedi, VP of Research-Commodities and Currency at financial services provider LKP Securities, says, "The outlook for gold over the next five years remains bullish. Factors such as de-dollarisation and the increasing importance of gold as a hedge against inflation and economic instability suggest strong future performance. Gold prices could conservatively reach ₹1 lakh per 10 gm over the next five years."

However, the only potential dampener might be the strengthening of the Indian rupee, which could slow the pace of price increase in domestic markets. Nevertheless, the global factors favouring gold's rise are likely to outweigh this.

"Gold prices have been down for many years. In the recent months, it has started moving up. Whenever a commodity, which has been static for a long period, starts moving, it gathers momentum. That's what is happening with gold right now. The momentum is building, and who knows how high gold rates will go," veteran American investor Jim Rogers, founder of Rogers International Commodity Index, told *Business Today* TV recently.

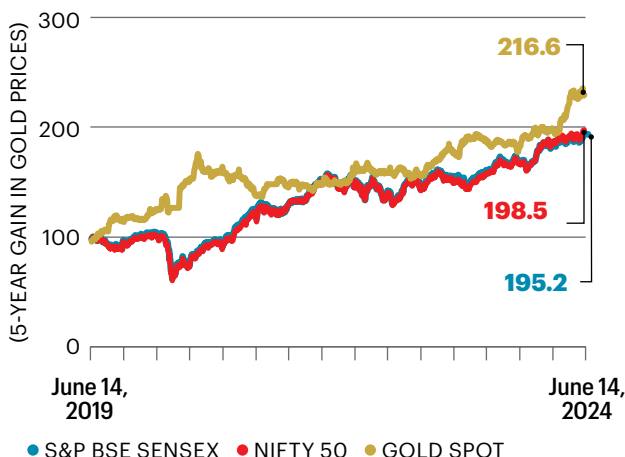
## HEAD-TO-HEAD

In 2024, the yellow metal has been a clear winner, outperforming both the benchmarks Nifty50 and the S&P Sensex by a significant margin. As of June 14, gold has surged 14.5% year-to-date, significantly outpacing the Nifty and Sensex, which gained only 8% and 6.6%, respectively.

The recent surge in gold prices has made many investors wonder if it's time to jump onto the bandwagon. Also, with all that shine, should one consider

## AU STRUCK

- Gold could rise to ₹1 lakh per 10 gm by 2029
- Gold has delivered superlative returns to investors in the past five years compared with the benchmark indices Nifty 50 and Sensex



## FACTORS LIKE INFLATION, ECONOMIC DOWNTURNS, INTEREST RATE CUTS, AND GEOPOLITICAL INSTABILITY CAN INFLUENCE THE PRICE OF THE YELLOW METAL

a staggered approach to investing in the yellow metal? Gold has delivered superlative returns to investors in the past five years.

Hareesh V, Head of Commodities at investment services company Geojit Financial Services, says, "Switching from stock holdings to investing in gold can be a significant decision, and it is important to consider various factors before making such a move. Gold would be a wonderful long-term investment, but it has some peculiar characteristics. This commodity is largely considered a hedge against inflation and a safe-haven asset. Hence, severe volatility can be seen during periods of economic and political instability."